# GMS WEEKLY

Your Source for Recycling News

February 7th, 2025
*Week 6*
Volume 269, Issue 1172


***Highlights:***

- **Surprise softening.**
- **Surge in supply.**
- **Slimmer at the seams.**
- **Tariffs yet to tell.**
- **Continually cooling.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

**"If people knew how hard I worked to achieve my mastery, it wouldn't seem so wonderful after all."**

*– Michaelangelo*

## -- MARKET COMMENTARY --

### TARIFFS & PRICES!

With week 7 of 2025 behind us, the raging fires of tariffs and counter-tariffs that continue to suppress recycling vessel prices via volatile fundamentals, are now creating a path for the (near) future of the ship recycling industry, one that seems to be headed for a Q1 and likely even Q2 of an industry that will likely be chasing falling prices. To start, some of the seriously older tonnage that has gotten an extension on their expiration dates via global events and wars that saw charter rates soar through the skies across 2023 and especially 2024, only subjected the ship recycling industry to one of the lowest volumes of tonnage offerings seen in about a decade. But with time trudging on and chances for further trades on these already rusty units getting slimmer at the seams with every passing week, the industry has as a result, seen a flurry of tonnage enter the markets since the onset of 2025, which was then followed by a surge in arrivals at respective waterfronts over the last couple of weeks including this one, with Pakistan **finally** breaking its mold of absence via a fresh arrival of its own.

As the Baltic Exchange's Dry Index reported dry bulk rates stabilizing across January 2025 and even start to climb across the last couple of weeks, the inflow of recycling tonnage at the bidding tables has continued unabated even in the face of declining offers. Even oil prices remain volatile as they close the week out at USD 71/barrel amidst further fears of rising fuel and energy prices and President Trump furthering President Bidens recent sanctions on both Russian and Chinese energy / dark fleets, via a fresh set of sanctions on Iranian tankers and those trading oil with Iran. As global economies react to the unfolding present, the U.S. Dollar continues to dominate the currency race as it registers noteworthy improvements across the ship recycling board, sadly hitting India the hardest this week, given that India is the most viable option for units sailing East out of the Red Sea.

This weakening in ship recycling nation currencies as well flatlining / declining steel plate prices have seen vessel offers continually cooling across the sub-continent markets, which remains no surprise given that the true nature of unfolding reality is yet to fully settle in and be felt, as levels of up to USD 30/LDT across the board were wiped out at a time that is a traditionally stronger period for global ship recycling markets 'pre' and now, 'post' Chinese New Year, as Chinese / Far Eastern owners are generally the most active in selling their overaged candidates including this year, where dry bulk / Panamax units have also been the flavor of late. While tanker rates continue to soar and owners globally re-positioning their units on the back of rising rates / sanctions, 2025 might be the year of the missing tankers despite a few wet sanctioned units making the recycling rounds. Even as a raft of LNG sales from the Korean market saw several respective units from this sector hit the beach, supply is expected to remain strong for the upcoming quarter(s) and perhaps, even the remainder of the year, all at a time tariffs on Chinese products - including steel – are due to take effect and where this excess and increasingly cheaper steel ends up, could spell disaster for the ship -recycling markets and vessel prices. As riots and violence re-erupts across much of Bangladesh, India's budget ending up a miss, Pakistan still seeks funding, and Turkey dissolves in the West, post-Chinese New Year state of affairs is keeping the wheels of ship recycling turning, albeit at expectedly lower levels and a persistent demand from all markets.

**GMS demo rankings / pricing for week 6 of 2025 are on Page 5.**

# BANGLADESH

## 2024 AGAIN?

*Lower overall.*

The political situation in Bangladesh is starting to deteriorate once again as currently exiled PM Sheikh Hasina delivered a fiery speech from oversees, calling on all her supporters to re-unite the party her father (the founder of the nation) founded decades ago. This led to a massive unfolding of local riots that then saw several residences and government properties associated with her party, torched in the process as protests unfolded across the nation. This instability is further adding to an already deteriorating situation that the country's economy is currently afflicted by i.e. minimal progress on construction projects, minimal steel movements being reported, very few breakers able or even displaying interest at the bidding tables, and a spate of deliveries to keep those ready and capable buyers, busy with tonnage and away from offering in the foreseeable future.

*Taking tonnage.*

Speaking of tonnage, Chattogram's anchorage remains an impressive sigth with 7 ships and nearly 82K LDT either lying in wait at the waterfront or delivered to their respective owners through the course of the week. And while this will certainly help maintain operations and regular business activity at domestic ship recycling yards, including the resale of recycled ship's steel to domestic steel mills, the level of offerings remain constricted on the back of stranded local steel plate prices that have refused to move from USD 529.41/Ton for about a quarter now. Further suppressing the ability of local offerings to move in a positive direction is the Bangladeshi Taka, which has been hemorrhaging in value since June 2024 including this week, where it ended nearly 0.5% lower than last and at BDT 121.33 against the U.S. Dollar.

*Far East buyers.*

Yet, in the growing face of vessels (from Chinese and Far Eastern owners) gradually steaming off charter, SNP activity with local recyclers continues at pace despite ship owners and cash buyers progressively facing ever decreasing levels, and the hottest and most capable local recyclers book their yards with tonnage leaving the next group of available buyers, positioned at notably lower levels. Approximately TEN Panamax Bulk Carriers have so far been committed into the local market since the start of the year and one would expect deals to continue taking place on these vintage 90s built bulk carriers that have been and continue to ease off charter and as time only progresses. Chattogram choppers have also been keen to take on some of the larger units in play i.e. LNGs, VLCCs, FSUs, and surprisingly even a private Capesize bulker, despite rates in this sector starting to firm up once again.

*Square distribution*

Overall, as Bangladeshi pricing lies just ahead of Indian levels by a whisker and is, as a result, busy taking in much of the Far Eastern tonnage, India and (even) Pakistan have started to take deliveries of their own as an even keel on pricing squarely distributes geographical tonnage across the sub-continent markets. However, with the HKC coming into effect by the middle of the year and the Ministry of Affairs granting an extension on deadline for domestic yards to initiate yard upgrades to March 31st, an act that has merely extended the inevitable for Chattogram choppers, Q3 will be the determinant factor as to where tonnage will eventually end up.

**NO MARKET SALES REPORTED**

# INDIA

## FIRMLY ROOTED!

Despite being the only ship recycling destination to consistently face the wrath of unending volatility in domestic fundamentals (including this week), Alang recyclers have managed to stay towards to the top of the marking rankings since 2024 and even managed to conclude their fair share of tonnage introduced into the markets since the start of the year, despite their firmly rooted offers in the mid USD 400s/LDT that continue to face immense downward pressures and are, as a result, displaying an ongoing reluctance to improve.

*Not improving.*

Speaking of fundamentals, not only have local steel plate prices been the only ones to consistently register declines whilst some competing neighbors have remained paralyzed by flatlines for months on end, but like the Bangladeshi Taka, the Indian Rupee has also seen its share of declines over the last couple of quarters as it registered the largest ship recycling destination currency decline of the week at nearly 1.6% against the U.S. Dollar, ending it at a historical record of Rs. 87.71.

*Rupee struggles.*

With the exchange rate now starting to bite down harder, salted in with a less than appreciable FY 2025 - 2026 budget (for Alang's ship recycling sector), any form of domestic recovery in the domestic economy, the Rupee, or even local steel plate prices seems destined for delays, especially now that pending Trump Tariffs on Chinese products and the possibility of even cheaper Chinese steel coming into the markets in the near future, stands in the way of making any serious recovery in prices through Q1 and even Q2, an improbability.

As reported in last week's report, ship owners and overly optimistic cash buyers only stand to face the wrath of ongoing market movements as unfolding affairs are doing little to achieve breakeven figures on some of the prior expensive fixtures. Yet, fixtures have continued as Alang recyclers have managed to squirrel away another 6 ships and nearly 75K LDT, a healthy number at Alang given that India's ship recycling waterfront nearly faced the indignity of an empty anchorage at least twice over the last two Quarters. Of note, included in this week's arrivals was even a rare passenger vessel, the likes of which have primarily been a Turkish flavor since 2023.

*Sanction questions.*

From the mixed number of units, several OFAC listed / sanctioned larger LDT tankers (VLCC and Suezmax size) have arrived and even delivered in Alang recently – calling into question activities of the cash buyers who blatantly skirt international regulations, the actions of which only stand to affect the ability of Indian authorities to permit allowing any questionable units from even arriving locally in the future.

**NO MARKET SALES REPORTED**

# PAKISTAN

## MEANING BUSINESS!

*Back in action.*

On the eve of the 5th month potentially highlighting an empty port report, the Gadani Gang seems to be leaping back into action over recent weeks via greater inquiries at the bidding tables and have as a result, even managed to secure several smaller LDT vessels and (finally) show that they mean business, especially after an extended period on the sidelines watching competing India rake in all of the recycling excess that has been coming into the market of late. Yet, unlike India, where levels seem to have more of a downward hint than an even one, Gadani offerings have remained entrenched in third place since Q4 2024, further compelling this market down the path of Turkey's abyssal trench.

*Upgrades needed.*

Like the rest of the industry, domestic fundamentals remain the prime movers behind the lethargic performance of Pakistan's ship recycling sector. Local steel plate prices, though strongest in the sub-continent, have remained horizontal for the longest at USD 643.78 / Ton, being suppressed by the influx of cheaper Chinese steel that has devastated ship recycling activity at all domestic yards, and this only stands to potentially get worse as the effects from recently imposed tariffs on China are yet to come through.

*Lagging behind still.*

Making matters worse for Pakistan's economy are the numerous financial loans and international aid hanging in the balance and are still to come through, including that from the IMF who are still investigating misappropriation of hundreds of millions of dollars and even send an investigate IMF mission to Pakistan to assess the feasibility of governance, corporate affairs, and the ongoing corruption in the country. Moreover, with the Pakistani army now taking an active interest in the nation's economy, the shift in the balance of powers and government further stands to deteriorate (if history has been any example). Finally, pending / major infrastructure upgrades at **all** domestic ship recycling yards needs to be initiated promptly in Gadani and bring ship recycling facilities up to HKC standards by July 1st of this year, or gay of the way of the Dodo.

As such, Pakistani buyers, though eager for tonnage and increasingly on the bidding tables of late, are lagging severely behind the rest of the industry in both current infrastructure capabilities and HKC standards at their respective yards, as some serious catching up needs to be done including that on price levels so that Pakistan can remain a relevant destination heading into 2026.

**NO MARKET SALES REPORTED**

# TURKEY

## NOISE!

*Consistently South*

In addition to forever dithering fundamentals, the only new noise emanating from Turkey has been the buzz around recent proposals of fresh units, even though no fixtures have been reported to Aliaga recyclers thus far, and certainly with reason. Like the sub-continent markets, with USD 30/MT being wiped off vessel prices in the matter of a week, ship owners and cash buyers are left evaluating residual value differentials with the Indian sub-continent markets, especially with some of the larger LDT units on offer.

Fundamentals have remained true to their dying causes as both import and local steel plate prices continue do demonstrate their share of volatility, stirred in a with a healthy shot of a lamenting Lira that weakened further by 27 basis points and ended the week, squarely at a record-breaking TRY 36 against the U.S. Dollar.

What more can we expect if the only way for this market has been consistently South.

**NO MARKET SALES REPORTED**

# GMS Weekly – Market Rankings

***For Week 6 of 2025, GMS Market Rankings / vessel indications are as below.***

| Rank | Location | Sentiment | Dry Bulk USD / LDT | Tankers USD / LDT | Containers USD / LDT |
|---|---|---|---|---|---|
| **1** | Bangladesh | **Stable** | 445 / LDT | 465 / LDT | 475 / LDT |
| **2** | India | **Stable** | 440 / LDT | 460 / LDT | 470 / LDT |
| **3** | Pakistan | **Stable** | 440 / LDT | 460 / LDT | 470 / LDT |
| **4** | Turkey | **Weak** | 280 / LDT | 290 / LDT | 300 / LDT |

# ODD ONES.

- *For years, the C.I.A. collaborated with the Mafia to plot the assassination of Fidel Castro, who seized power in Cuba in 1959. Its various failed schemes included poison pills and a woman enlisted to seduce and murder Castro.*
- *A person trying to escape an abusive relationship, on average, needs seven attempts to actually leave.*
- *According to the Murder Accountability Project, which tracks homicide data nationwide, nearly 300,000 people have died in unsolved homicides since 1980.*
- *China is the world's largest food importer and needs to feed almost one-sixth of the world's population with less than one-tenth of the world's arable land, which has shrunk and degraded with heavy fertilizer use and pollution.*
- *More hydrating than watermelon, tomatoes have a range of nutrients, including antioxidants like lycopene, which has been linked to lower risks of certain cancers.*
- *The Dali, the container ship that slammed into Baltimore's Francis Scott Key Bridge last March, was as long as the height of the Eiffel Tower.*
- *The most recent "hothouse" period in the Earth's history was around 56 million years ago, when palm trees and alligators thrived in the Arctic Circle.*
- *The Kremlin is using financial rewards to incentivize births. Russian women having their first child get a one-time payout of $6,700.*

# IMPORTANT DATES

| INDIA | |
|---|---|
| **BANK HOLIDAYS** | **DELIVERY TIDES** |
| February 26 – Maha Shivratri | February 10 – February 16<br>February 26 – March 05<br>March 13 – March 18<br>March 27 – April 05 |

| BANGLADESH | |
|---|---|
| **BANK HOLIDAYS** | **DELIVERY TIDES** |
| February 15 – Shab-e-Barat<br>February 21 – Shahid Day<br>February 26 – Independence & National Day | February 14 – February 17<br>February 28 – March 03<br>March 14 – March 17 |

| BANK HOLIDAYS | | |
|---|---|---|
| **CHINA** | **PAKISTAN** | **TURKEY** |
| **No holidays until March** | **No holidays until March** | **No holidays until March** |

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## ALANG - Port Position as of February 07, 2025

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| 1 | *Athina 3* | *9,969* | *Oil Tanker* | *Delivered February 06* |
| 2 | *Ceano (Under Tow)* | *23,277* | *Jack-up Rig* | *Delivered February 04* |
| 3 | *Fortu* | *16,120* | *Passenger Vessel* | *Delivered February 02* |
| 4 | *Grif (Under Tow)* | *1,305* | *Supply Vessel* | *Delivered February 06* |
| 5 | *Nolan* | *21,861* | *Oil Tanker* | *Delivered February 01* |
| 6 | RDS 1 | 1,816 | Supply Vessel | Arrived February 03 |
| **Total Tonnage** | | **74,349** | | |

## CHATTOGRAM - Port Position as of February 07, 2025

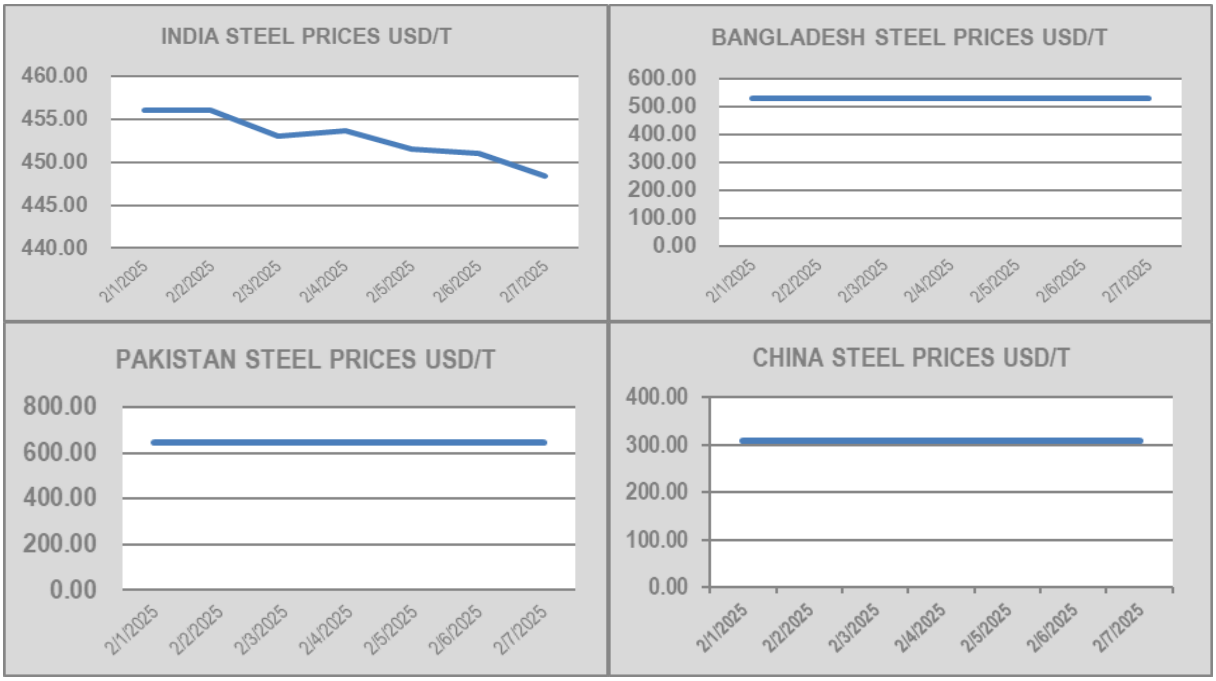
| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| 1 | *Alek* | *3,120* | *General Cargo* | *Delivered February 05* |
| 2 | East Pioneer | 10,891 | Bulk Carrier | Arrived February 04 |
| 3 | Golden O | 10,664 | Bulk Carrier | Arrived February 04 |
| 4 | *Guo Yuan 9* | *9,265* | *Bulk Carrier* | *Delivered February 02* |
| 5 | Lean | 29,182 | LNG Tanker | Arrived January 27 |
| 6 | Ocean Peace | 10,848 | Bulk Carrier | Arrived January 28 |
| 7 | Three Star | 7,627 | Bulk Carrier | Arrived January 23 |
| | | **81,597** | | |

## GADANI - Port Position as of February 07, 2025

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| 1 | Leena | 5,204 | Bulk Carrier | Arrived February 02 |
| **Total Tonnage** | | **5,204** | | |

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

| DATE | INDIA STEEL PRICES USD/T | INDIA STEEL PRICES | PAKISTAN STEEL PRICES USD/T | PAKISTAN STEEL PRICES | BANGLADESH STEEL PRICES USD/T | BANGLADESH STEEL PRICES | CHINA STEEL PRICES USD/T |
|---|---|---|---|---|---|---|---|
| 2/1/2025 | 456.07 | 39,500.00 | 643.78 | 180,000.00 | 529.41 | 63,000.00 | 308.13 |
| 2/2/2025 | 456.07 | 39,500.00 | 643.78 | 180,000.00 | 529.41 | 63,000.00 | 308.13 |
| 2/3/2025 | 453.03 | 39,500.00 | 643.78 | 180,000.00 | 529.41 | 63,000.00 | 308.13 |
| 2/4/2025 | 453.66 | 39,500.00 | 643.78 | 180,000.00 | 529.41 | 63,000.00 | 308.13 |
| 2/5/2025 | 451.58 | 39,500.00 | 643.78 | 180,000.00 | 529.41 | 63,000.00 | 308.13 |
| 2/6/2025 | 451.07 | 39,500.00 | 643.78 | 180,000.00 | 529.41 | 63,000.00 | 308.13 |
| 2/7/2025 | 448.41 | 39,200.00 | 643.78 | 180,000.00 | 529.41 | 63,000.00 | 308.13 |

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